

loans business is dependent on Post-paid, as these borrowers graduate to a higher limit of up to ₹1 lakh after one year. Paytm's primary focus is now on merchant loans and big-ticket loans. Merchant loans, where the average ticket size has increased to ₹2 lakh, have an average tenure of 13 months. Sharma was quick to diversify the loan basket to longer maturities of one to three years. As its customer base grew, Paytm shifted its approach from hunting for new customers to farming existing relationships. The bigger ticket size loans are based on whitelisted customers who have some history of repayments and good credit behaviour. Paytm is also eyeing banking partners, which generally offer bigger ticket size loans.

Experts say Paytm's loans are

concentrated in the risky unsecured space. Unlike banks, which also deal in mortgages and vehicle loans, Paytm has no diversification strategy to save itself from problems in one segment. "The biggest challenge is the ability of Paytm to attract new lending partners to its network," says an NBFC player, who declined to be named. Some suggest that KYC and other compliance issues will make the partners sceptical about associating themselves with Paytm. Jio's entry into lending (possibly via free soundboxes) is another challenge, they add.

DIVING FOR PEARLS

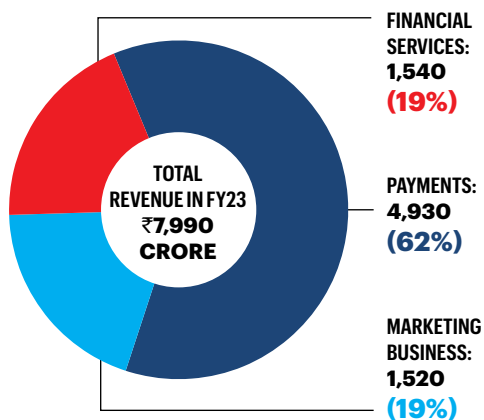
However, there are bright spots. Less than 5% of those who use the Paytm app use the loan facility,

and this offers a huge opportunity. Then, Paytm adds 1-1.2 million devices every quarter, and once it has data for 6-12 months, its lending partners can start offering loans based on that data. Second, Paytm has till now offered credit facilities to just one-third of merchants who installed Soundboxes. Insiders say there are also discussions on diversifying into secured loans for lending partners. These could be small property loans or auto loans, such as for two-wheelers.

Then there's Paytm's investment business—which comprises equity, MFs and wealth management—and is yet to see scale. On the equity side, Paytm operates as a discount broker, tapping opportunities in the F&O segment and equity trading. In the MF space, it prefers custom-

PAYMENTS DOMINANCE UNDER THREAT

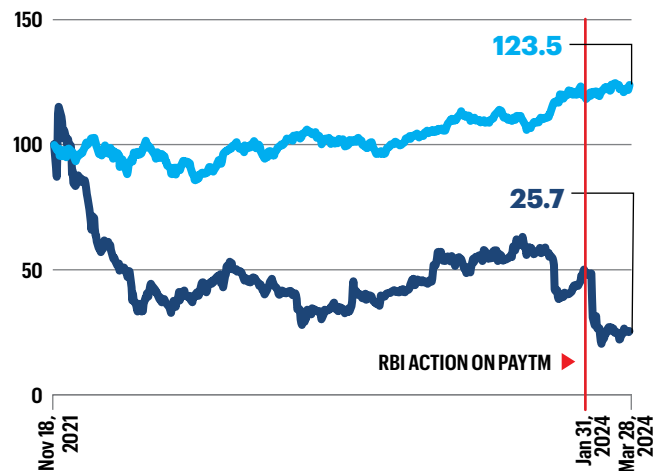
- ▶ Non-device business (Soundboxes and electronic data capture machines for cards) to continue scaling up
- ▶ Third-party partnerships will transfer some portion of revenues outside the ecosystem



SHARE IN BUSINESS REVENUES IN ₹ CRORE; CONSOLIDATED FINANCIALS; REVENUES FOR FY23 **SOURCE** REPORTS

STEEP FALL

- ▶ The One 97 Communications stock has been underperforming the broader index since its IPO
- ▶ It witnessed a crash after the RBI's strictures on PPBL ecosystem



— ONE 97 COMMUNICATIONS (PAYTM) — BSE SENSEX

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